

Beltone Risk Readiness Assessment.

GROUP RISK ASSESSMENT

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ASSESSMENT PURPOSE

Assessment of **Beltone (Egypt)** risk readiness across the subsidiary stack. Objectives: validate maturity across all risk types, identify control gaps, evaluate alignment with Avalora Group risk frameworks, and define a prioritised remediation plan.

i Risk snapshot.

Technology & Data Integrity HIGH	Fraud Risk HIGH	PQR Standardisation HIGH	Performance Risk (HR) HIGH	Operational Risk · RCSA / SoD HIGH
Microfinance · Key-man & Black Box HIGH	Seven · Maker-Checker & Tech MEDIUM	Governance & Compliance HIGH	Framework Alignment MEDIUM	Cyber Risk OUT OF SCOPE

ii Detailed assessment & action plan.

#	CATEGORY	FINDING	RISK	ACTION ITEMS	OWNER
01	Technology & Data Integrity	Manual processes dominate; only Factoring & Leasing organised. Direct risk to data accuracy, controls, and scalability.	HIGH	- Develop a technology upgrade roadmap by entity - Automate top-10 manual workflows - Implement core data-quality controls and lineage - Define interim manual-control compensating measures	
02	Fraud Risk	Identified incidents pending closure. Limited automation and controls elevate exposure across origination and post-disbursal.	HIGH	- Conduct root-cause analysis on identified incidents - Issue corrective action plan with timelines - Stand up a formal fraud incident register - Refresh KYC / AML controls and monitoring	
03	PQR Standardisation	Reports submitted in varied formats; trends unclear; ad-hoc submissions across entities. Group prototype demoed to Beltone Risk & IT.	HIGH	- Adopt group PQR template across all entities - Define IT execution plan & integration milestones - Schedule call on forward-looking scenario design - Set monthly cadence with Group Risk review	
04	Performance Risk (Risk-team HR)	No defined objectives, structured performance metrics, formal documentation, or articulated R&R for the risk function.	HIGH	- Define risk-team objectives aligned to group KRIs - Issue role descriptions & performance metrics - Establish formal HR governance framework - Set quarterly performance review cycle	
05	Operational Risk · RCSA & SoD	RCSA initiated but mitigation & controls not designed. Segregation-of-duty gaps; no maker-checker in core teams.	HIGH	- Close RCSA cycle with mitigation plans per risk - Design & deploy SoD matrix; close conflicts - Implement maker-checker workflow in core processes - Schedule control-testing and KCI tracking	

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Detailed assessment & action plan *continued.*

#	CATEGORY	FINDING	RISK	ACTION ITEMS	OWNER
06	Microfinance • Black Box & Key-man	Limited transparency into microfinance operations; decision-making centralised on a single individual; low appetite for technology adoption.	HIGH	- Onboard MF to group risk visibility & reporting - Define succession plan to remove key-man dependency - Mandate technology adoption roadmap - Embed a Group Risk officer for 90-day handhold	
07	Seven • Maker-checker & Tech	Limited advanced tech infrastructure; absence of maker-checker controls; outdated practices limiting growth.	MEDIUM	- Implement maker-checker workflow in priority processes - Tech-infrastructure assessment & modernisation plan - Phase out outdated practices on quarterly review	
08	Governance & Compliance	Non-compliance with policies; weak risk control over subsidiaries; weak overall governance posture across entities.	HIGH	- Stand up a monthly subsidiary governance forum - Issue a compliance scorecard per entity - Schedule policy-adherence audit - Define escalation matrix to Group Risk	
09	Framework Alignment	Avalora risk frameworks & policies have been shared with Beltone. Beltone's frameworks pending submission for group review & alignment.	MEDIUM	- Receive Beltone's frameworks & policies for review - Map divergences against group baseline - Sign off aligned framework with Beltone CRO	
10	Cyber Risk	Not reviewed in this assessment. Sits within the CTO's purview.	005	- Route relevant observations to Saket's team - Track resolution via the group cyber forum	

Company-level *observations.*

MICROFINANCE

Pronounced key-man dependency, with decision-making heavily centralised on a single individual. Limited appetite for technology adoption; preference for manual processes. Treat as a Group Risk priority.

SEVEN

Lack of advanced technology infrastructure, absence of maker-checker controls, and continuation of outdated practices are collectively limiting the company's growth potential. Modernisation roadmap required.

FACTORING & LEASING

The only entity with reasonably organised processes. Use as a reference baseline for the rest of the Beltone stack; codify operating model and apply to peers.

Recommended *next steps.*

01 Stand up a 90-day Beltone risk programme

under Group Risk oversight, anchored on the priority actions above.

02 Embed a Group Risk officer at Beltone

for the first quarter to drive RCSA closure and SoD design.

03 Lock the PQR rollout

with Beltone IT and schedule the forward-looking scenarios working session.

04 Mandate tech roadmaps

for Microfinance and Seven, with monthly progress reviews.

05 Convene a Beltone Board risk session

to communicate findings and secure ownership at the highest level.

OUT OF SCOPE

Cyber risk was not reviewed in this assessment. It sits within the CTO's purview. Relevant observations will be routed to Saket's team for resolution and tracked separately under the group cyber forum.